



Statement of Issues

11 September 2025

Igneo Infrastructure Partners' proposed acquisition of Benedict Recycling Pty Ltd

Purpose

1. Igneo Infrastructure Partners (**Igneo**) proposes (through subsidiaries of First Sentier Investors (Australia) RE Ltd in its capacity as trustee of the Global Diversified Infrastructure Fund (Active)) to acquire a 100% interest in Benedict Recycling Pty Ltd (**Benedict**) (together, the **Parties**) (the **Proposed Acquisition**).
2. This Statement of Issues:
 - a. gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the Proposed Acquisition,
 - b. identifies areas of further inquiry, and
 - c. invites interested parties to submit comments and information to assist our assessment of the issues.
3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

4. In considering the Proposed Acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
5. The ACCC divides its preliminary views into 3 categories: 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there is one 'issue of concern' and one 'issue that may raise concerns'.

Issue of concern – unilateral effects in the supply of mixed building and demolition waste processing services

6. The ACCC's preliminary view is that the Proposed Acquisition is likely to substantially lessen competition in the supply of mixed building and demolition (B&D) waste processing services in the Newcastle region of New South Wales by removing Integrated Waste Services' (IWS)¹ closest competitor in the supply of mixed B&D waste processing services. The ACCC is concerned that remaining suppliers of mixed B&D waste processing services would be unlikely to provide a sufficient constraint on IWS post-acquisition. The ACCC's preliminary view is that landfill operations (which accept mixed B&D waste) in the Newcastle region are not an effective substitute for B&D waste processing given reportedly higher costs to collection companies associated with landfill disposal and preferences to divert recoverable material from landfill when possible. The ACCC is concerned the Proposed Acquisition would be likely to result in higher prices and/or reduced service levels for customers of mixed B&D waste processing services.

Issue that may raise concerns – vertical effects in the supply of B&D waste collection services

7. The ACCC's preliminary view is that the Proposed Acquisition may substantially lessen competition in the supply of B&D waste collection services in the Newcastle region by foreclosing rival collection companies' access to waste processing services. IWS is vertically integrated in B&D waste collections. Rival B&D waste collection companies require access to mixed B&D processing facilities to remain competitive. The ACCC has preliminary concerns that following the Proposed Acquisition, IWS may have the ability and incentive to foreclose rival B&D waste collectors by increasing prices and/or reducing the service levels offered to rival collectors.

Making a submission

8. The ACCC invites submissions from interested parties on the issues identified in this Statement of Issues.
9. Interested parties should provide submissions by **5pm AEST on 25 September 2025**.
10. Responses may be emailed to mergers@accc.gov.au with the title: **Submission re: Igneo/Benedict**. If you would like to discuss the matter with ACCC staff or have any questions about this Statement of Issues, please email mergers@accc.gov.au.
11. The ACCC anticipates making a final decision on **20 November 2025**, however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website: <https://www.accc.gov.au/public-registers/mergers-and-acquisitions-registers/public-informal-merger-reviews-register/igneo-infrastructure-partners-benedict-recycling-pty-ltd>.

¹ IWS is a waste management company wholly owned by Igneo (see paragraph 23).

Confidentiality of submissions

12. The ACCC will not publish submissions regarding the Proposed Acquisition. The ACCC will not disclose submissions to third parties (except its advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. The ACCC's [*Informal Merger Review Process Guidelines*](#) contain more information on confidentiality.

About ACCC 'Statements of Issues'

13. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.
14. A Statement of Issues provides an opportunity for all interested parties (including purchasers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Industry background

Types of waste

15. Waste streams can be categorised in 3 ways:
 - a. **B&D waste** is non-putrescible (meaning it contains primarily non-organic materials) waste that results from the demolition or construction of buildings, civil projects and infrastructure development. For the purposes of this Statement of Issues and unless otherwise stated, mixed B&D waste refers to unsegregated (i.e. 'mixed') non-hazardous materials and includes 'light' (e.g. cardboard, paper, plastics and plasterboard) and 'heavy' (e.g. bricks, concrete, timber and soils) materials.

The ACCC understands that waste management facilities charge third parties a higher rate to deposit mixed B&D waste than the rate for sorted materials, because:

- i. Sorting mixed B&D waste for further processing of recovered materials is a capital- and labour-intensive process.
 - ii. Unlike sorted materials, mixed B&D waste can contain both recoverable and unrecoverable materials, so facilities must pass on the cost of disposing of any unrecoverable materials.
- b. **Commercial and Industrial (C&I) waste** is generated from commercial buildings and businesses, government facilities, educational institutions and

industrial sites. C&I waste is generally a mixture of putrescible (e.g. food waste) and non-putrescible materials, however these 2 broad waste types are typically collected in separate bins to segregate recyclable materials. Processing of C&I waste involves sorting the non-putrescible collected waste, with a focus on recovering recyclable materials like paper, cardboard, plastics, and organics.

- c. **Municipal waste** is putrescible and non-putrescible waste collected from households through kerbside collection, typically in separate bin types.

16. In this matter, the ACCC's concerns relate to mixed B&D waste (see paragraph 34 below).

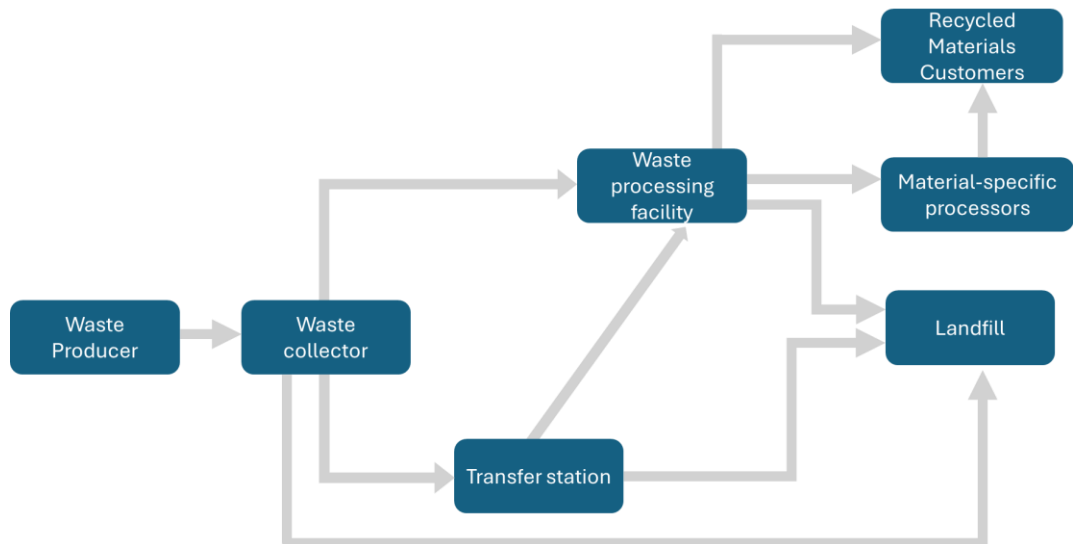
The B&D waste management supply chain

17. There are multiple activities conducted by participants in the B&D waste management supply chain. The key levels of the supply chain are:

- a. **Production:** B&D waste producers are typically operators of construction or demolition sites. Some producers may sort their waste by material type prior to collection or processing, but most do not.
- b. **Collection:** Waste producers typically engage waste collectors that supply skip bins and operate trucks to collect mixed and sorted B&D waste. These trucks are fitted to drop and collect skip bins. Collections companies will either dispose of B&D waste at a transfer station or waste processing facility that is capable of and licensed to accept and process the waste, or they will take it directly to landfill.
- c. **Transfer stations:** Typically located close to urban centres, transfer stations serve as collection points for a processing facility or landfill located further away. Waste is typically transported directly from transfer stations to the waste processing facility or landfill site without being sorted, however minimal sorting may occur at some transfer stations.
- d. **Waste processing facilities:** Facilities that sort and recover commodities from B&D waste that can be recycled or reused. Some B&D waste processing facilities only accept sorted material-specific B&D waste (such as concrete), while others accept mixed B&D waste. Those that accept mixed B&D waste use a combination of heavy machinery and manual sorting to sort waste into materials that can then be processed on site and on-sold as a recycled product to end customers or taken to a material-specific processor. After processing, residual materials are taken to landfill. The ability of a facility to accept mixed B&D waste is determined by factors including regulatory approvals (e.g. Environmental Protection Authority (**EPA**) licensing and local council requirements), processing capability (such as the equipment and expertise required) and capacity to process and/or store the material.
- e. **Landfill:** Landfills are final disposal sites for different categories of waste. Unlike transfer stations and waste processing facilities, landfills also accept

restricted or hazardous waste such as asbestos. Landfills accept unrecoverable waste from processing facilities. In some circumstances, collectors may also dispose of B&D waste directly at a landfill.

Figure 1: The B&D waste management supply chain²



Waste policy in New South Wales

18. In 2023-24, 80% of B&D waste in New South Wales was recycled.³ One factor driving this high recycling rate is the waste levy. As is the case in most states and territories in Australia, waste deposited in NSW landfills attracts a levy, designed to make resource recovery a relatively more attractive option by increasing the cost of disposing material at landfill. In 2025-26, the waste levy in metropolitan areas (including Newcastle) is \$174.20 per tonne and increases by a rate equivalent to CPI each year.
19. In 2024, the NSW Government commenced a review of the waste levy to determine how it can drive greater recycling in NSW. As of August 2025, the review is still underway.
20. Waste deposited at a waste processing facility is not subject to the waste levy. However, given waste processing facilities take residual (unrecoverable) materials to landfills, any increase to the waste levy would increase any landfill costs incurred by those processing facilities.

The Proposed Acquisition and the Parties

21. Igneo proposes to acquire a 100% interest in Benedict.

² Prepared by the ACCC based on publicly available information

³ NSW EPA, [NSW waste and recycling performance data: 2023–24 financial year](#), accessed 26 August 2025. Note: B&D waste is referred to as 'construction and demolition' waste. B&D waste (80%) has a significantly higher rate of recovery than municipal solid waste (48%) and C&I waste (50%).

The acquirer: Igneo

22. Igneo is the unlisted infrastructure asset management business of the First Sentier Investors Group, an Australian asset manager with more than A\$222 billion in funds under management (as of 30 June 2024). First Sentier Investors Group is ultimately owned by Mitsubishi UFJ Financial Group.
23. Igneo manages an infrastructure fund that owns IWS, a waste management business, with operations in Western Australia, South Australia, and the Newcastle and Hunter Valley regions of New South Wales.
24. In the Newcastle region, IWS operates through its Recycle Central Group (**Recycle Central**) division, which supplies waste collections, and processing and recovery services for B&D and C&I waste. Recycle Central operates 2 processing facilities in the Newcastle region:
 - a. the Central Waste Station with a licensed capacity of 90,000 tonnes of non-putrescible waste per annum, located in Kurri Kurri, 38 km from the Newcastle CBD (**Kurri Kurri Facility**); and
 - b. Central Waste Transfer Station with a licensed capacity of 99,800 tonnes of non-putrescible waste per annum, located in Cardiff (in central Newcastle) (**the Cardiff Transfer Station**).
25. IWS is also developing a waste transfer station in Muswellbrook in the Upper Hunter, which will transfer waste to the Kurri Kurri Facility for further processing.
26. In addition to its waste processing services, IWS offers collection services in the Newcastle region under the brands 'Central Skips' and 'Rent a skip'.
27. Separate to the Proposed Acquisition, Igneo has also recently acquired 100% of the shares in Three Mile Hill Pty Limited (**Three Mile Hill**). Three Mile Hill has development approval from the Hunter and Central Coast Regional Planning Panel to repurpose an existing quarry in Black Hill (17 km west of the Newcastle CBD) into a waste management facility. The facility would receive up to 225,000 tonnes of non-putrescible waste (including B&D and C&I waste) per year⁴, which would involve using the quarry void as a landfill for non-putrescible waste and development of a resource recovery area on-site. The ACCC understands that plans for the waste management facility are yet to be finalised by Igneo.

The target: Benedict

28. Benedict provides processing and recovery services for B&D, C&I, household and green waste across Greater Sydney (Chipping Norton, Smeaton Grange and Belrose), Bowral, Unanderra and Newcastle.
29. In the Newcastle region, Benedict operates a processing facility in Mayfield West, close to the centre of Newcastle (**the Newcastle Recycling Centre**). The Newcastle

⁴ NSW Government Planning Portal, [Waste and resource management facilities](#), accessed 3 September 2025.

Recycling Centre is licensed to accept 315,000 tonnes of non-putrescible waste per annum.

30. Benedict does not operate a collections business.

Other industry participants

B&D waste collection services

31. There are numerous businesses that supply B&D waste collection services (skip hire and collection) in the Newcastle region. There are approximately 30 providers with operations ranging in scale from 2 collection trucks to approximately 20 trucks. While there are some larger operations, including vertically integrated businesses such as IWS and Skips and Scrap, most B&D waste collections companies in the Newcastle region do not own or have interests in B&D waste processing facilities.

B&D waste processing services

32. As outlined in Table 1 in this Statement of Issues, a number of B&D waste processors operate in the Newcastle region. The ACCC understands that the only processor that accepts mixed B&D aside from the Parties is Skips and Scrap, located in Tomago. Other processors (including Concrush, Newcastle Recycling Solutions and Boral) accept sorted B&D waste only.

Landfill sites

33. There are 2 landfill sites in the Newcastle region (Newcastle City Council's Summerhill facility and Veolia's Raymond Terrace facility) that accept mixed and sorted B&D waste. Depositing waste at a landfill site incurs the waste levy, unlike depositing waste at a waste processing facility.

Market definition

34. The ACCC has not formed a concluded view on the dimensions of the relevant product market(s). For the purposes of this Statement of Issues, the ACCC is considering the impact of the Proposed Acquisition on the supply of:

- mixed B&D waste processing services; and
- B&D waste collection services

in the Newcastle region of NSW.

Product dimension – mixed B&D processing services

35. The ACCC's preliminary view is that C&I waste processing services are not a substitute for mixed B&D waste processing services. The equipment required to sort and process mixed B&D waste is different to that of C&I waste. Most C&I waste processing facilities in the Newcastle region are unable to accept, sort and process mixed B&D waste.

36. The ACCC's preliminary view is that facilities that accept and process segregated (or 'material-specific') waste are also unlikely to be an effective substitute for mixed B&D waste processors. Material-specific processors only accept a limited subset of B&D waste types (e.g. separated concrete, brick and tiles, or excavated natural materials). Most material-specific processors lack the capability to process mixed B&D waste. Suppliers of mixed B&D waste processing services require specialised equipment to receive and sort mixed B&D loads. For most producers of B&D waste, sorting waste by material type prior to collection or processing is not cost-effective, as it requires additional time, space and cost to arrange multiple skips for different material types. For this reason, most B&D waste collectors usually require facilities capable of accepting mixed B&D waste.
37. The ACCC is continuing to investigate the extent to which landfill facilities are a substitute for mixed B&D waste processors in the Newcastle region. The ACCC recognises that landfills and B&D waste processing facilities do perform a similar role, in the service they provide B&D waste collectors (i.e. they are a place to deposit waste). Some B&D waste collectors may take mixed B&D waste to a landfill facility if the load is contaminated with a hazardous material (e.g. asbestos), or there is a low proportion of recoverable material in the load. The ACCC understands much of the B&D waste deposited directly at landfill facilities in the Newcastle region comprises asbestos or asbestos-contaminated soil (which cannot be deposited at the Parties' B&D waste processing facilities) or excavated soil (which is not a mixed B&D waste stream).
38. However, the ACCC's preliminary view is that landfills are unlikely to provide a material constraint on processors of mixed B&D waste in the Newcastle region. As outlined in paragraph 18, most B&D waste in New South Wales is recycled. In the Newcastle region, a large share of mixed B&D waste is deposited at the Parties' processing facilities rather than deposited directly at landfills.
39. While some landfill operators in Newcastle and B&D waste processors advertise similar 'gate prices' for B&D waste disposal, the ACCC understands that mixed B&D waste processors in Newcastle offer material discounts off their advertised gate prices to skip bin collection companies that regularly use their services, reducing the actual price that many collectors of mixed B&D waste pay. The ACCC understands some landfills in the Newcastle region also offer discounts and is investigating the extent to which and the effective price incurred by customers could be comparable with the effective price incurred when the mixed B&D waste is processed at the Parties' processing facilities.
40. As outlined in paragraph 17, there are distinct operational differences between processors of mixed B&D waste and landfill facilities. Because of these operational differences, the costs incurred, and revenue streams generated, by processors and landfills differ, as do the prices they typically appear to charge collection companies who are seeking to dispose of waste. Processors of mixed B&D waste focus on the recovery of materials that can be recycled and sold, in order to minimise the volume of residual material that is incapable of recovery and must be taken to landfill for disposal at an additional cost. In contrast, landfills typically focus on accepting waste for final disposal.

41. Some construction and demolition businesses also seek to minimise waste sent to landfill to achieve sustainability targets or a favourable 'green' certification for construction projects.⁵ The ACCC understands that some waste producers have a strong preference that their waste is deposited at a processing facility instead of a landfill, particularly where the load contains a substantial volume of recoverable material. The ACCC is continuing to investigate the significance of non-price factors to collection companies' preference to dispose of mixed B&D waste at processing facilities in the Newcastle region.

Product dimension – B&D waste collection services

42. The ACCC considers B&D waste collection to be in a separate market to B&D waste processing. Some firms (like IWS) are vertically integrated across the waste management supply chain. However, most B&D waste collectors do not own their own processing facilities and rely on access to third-party facilities for processing or disposal of B&D waste.
43. The ACCC's preliminary view is that B&D waste collection comprises both mixed and sorted B&D waste. The equipment and machinery required is the same, regardless of whether the skip contains sorted or mixed B&D waste.
44. The ACCC also considers that C&I waste collection services are not a commercial alternative for companies requiring the collection of mixed B&D waste. C&I waste is typically stored in different bins to B&D waste and collected using different trucks.

Geographic dimension – mixed B&D waste processing services

45. The ACCC has not yet formed a concluded view on the geographic boundaries of the market for mixed B&D waste processing. The geographic boundary for this market is determined by the distance collectors are willing to travel to dispose of mixed B&D waste.
46. Feedback from market participants indicates that, for collectors looking to deposit B&D waste collected from a location in the Newcastle region, it is not commercially viable to travel a long distance from the point of collection when there are existing B&D waste processing facilities and transfer stations within the region. This is because mixed B&D waste collectors typically transport smaller loads (resulting in high transport costs per tonne), and because there are opportunity costs associated with longer travel (i.e. lost profits from other loads that the truck could be collecting).
47. More generally, the ACCC understands that the distance a waste collector is willing to travel to dispose of waste will depend on various factors, such as:
- a. **Load size** - collectors of large waste loads may be more willing to travel a longer distance than collectors of small loads, because larger loads (such as those collected from civil construction sites) generally have lower per-tonne transport costs.

⁵ Under green certification programs, avoiding landfills contributes to a more favourable green certification. For example: Green Building Council Australia, [Green Star reporting criteria for C&D waste](#), accessed 26 August 2025.

- b. **Waste type** - collectors of segregated B&D waste loads may be willing to travel further than the collector of a mixed B&D load, because facilities that can process a specific waste type often charge a substantially lower rate than a facility that can't.
48. Information available to the ACCC indicates that most mixed B&D waste deposited at IWS' Cardiff Transfer Station and Benedict's Newcastle Recycling Centre was collected from sites within 30 minutes' drive of the relevant facility. This is consistent with feedback from market participants that waste collectors do not typically transport mixed B&D waste loads originating from the Newcastle region to locations more than 30 minutes' drive from the collection site.
49. The ACCC's preliminary view is that the area⁶ within 30 minutes' drive time from the Newcastle Recycling Centre is the appropriate relevant geographic market for the purposes of assessing the proposed acquisition. However, even if adjusted to a 40-minute drive time, this would not change the ACCC's preliminary views regarding the likely effect of the Proposed Acquisition on competition.

Geographic dimension – B&D waste collection services

50. The ACCC has not yet formed a concluded view on the geographic boundaries of the market for mixed B&D waste collection services. The geographic boundary for this market is determined by the areas that B&D waste collectors choose to service, which depends on factors like travel distance (to drop and collect skip bins), and the location of waste facilities where they can dispose of waste.
51. The ACCC's preliminary view is that the relevant geographic boundary is likely similar to that of mixed B&D waste processing services (described above).

Questions for market participants

The ACCC invites comments from market participants regarding the markets for the collection and processing of B&D waste in the Newcastle region, including views on:

- The extent to which producers and collectors of mixed B&D waste consider landfill sites to be an effective substitute for mixed B&D waste processors, including in relation to price and non-price factors.
- The extent to which mixed B&D processors compete with material-specific processors
- How collection companies make decisions about which waste processor they use, including the costs involved of using alternative processors beyond 30 minutes from the point of collection
- What factors collection companies consider when choosing whether to service a particular geographic area or suburb.

⁶ This geographical area spans most locations within the Newcastle City Council Local Government Area (LGA), and parts of the Cessnock City, Lake Macquarie City, Maitland City, and Port Stephens Council LGAs.

Issue of concern: substantial lessening of competition in the supply of mixed B&D waste processing services

52. The ACCC's preliminary view is that the Proposed Acquisition is likely to have the effect of substantially lessening competition in the supply of mixed B&D waste processing services in the Newcastle region, by removing the close competition between IWS and Benedict. This would likely allow the merged firm to increase prices or reduce the quality of the service it provides its customers post-acquisition.

IWS and Benedict are each other's closest competitors

53. The ACCC's preliminary view is that Benedict and IWS are each other's closest competitors in the supply of mixed B&D waste processing services in the Newcastle region, based on the following:
- a. The Cardiff Transfer Station and Benedict's Newcastle Recycling Centre are geographically each other's closest competitor and there is likely to be overlap in their respective catchment areas. These 2 facilities are within 30 minutes' drive of most locations in the City of Newcastle LGA.
 - b. Both Benedict and IWS receive and process a comparable amount of mixed B&D waste from third parties, despite Benedict accepting a larger range of waste types (including soils and excavated natural materials).
 - c. B&D waste collection customers can easily switch between the Benedict and IWS facilities, since exclusive or long-term contracts are not commonplace in the market. Market feedback suggests that customers regularly consider both options.
54. The ACCC is concerned that removal of the competitive constraint on IWS from Benedict would likely result in an increase in prices paid by B&D collectors for disposing of mixed B&D waste in the Newcastle region, or a reduction in the quality of service received post-acquisition.

Alternative suppliers of waste processing services appear unlikely to effectively constrain the merged entity

55. The ACCC is concerned that post-acquisition, the merged firm would face limited competition for mixed B&D waste processing in the Newcastle region.
56. The ACCC has identified in Table 1 the waste facilities that accept mixed and sorted B&D waste, located within 40 minutes' drive of Benedict's Newcastle Recycling Centre.
57. The ACCC understands that Skips and Scrap is currently the only alternative processing facility to Benedict and IWS in the Newcastle region that accepts mixed B&D waste from third-party waste collectors. Skips and Scrap has a licensed capacity of 25,000 tonnes per annum at its original facility, and in 2025 acquired a

second site from Bingo Industries.⁷ The ACCC understands that Skips and Scrap's capacity across the 2 facilities is significantly below that of IWS and Benedict, and a large portion of that capacity is used to process waste from its own collections business. Given these capacity constraints, the ACCC's preliminary view is that Skips and Scrap would be unable to sufficiently constrain any attempt by the merged entity to increase prices post-acquisition.

58. The ACCC's preliminary view is that landfills do not provide an effective constraint on the Parties. There are landfills in the Newcastle region that accept non-putrescible waste (including the Summerhill Waste Management Centre and Veolia Raymond Terrace Resource Recovery Park). However, the ACCC understands collection companies in the region have a strong preference to deposit mixed B&D waste at a processing facility, rather than directly at landfill, given preferences to divert recoverable material from landfill when possible and reportedly higher costs to collection companies associated with landfill disposal.
59. Similarly, the ACCC's preliminary view is that material-specific processors (some of which are listed in Table 1 and shown on a map in Figure 2) are not a constraint on the Parties. A large proportion of the B&D waste deposited at the Parties' facilities is mixed and would not be accepted at facilities that only accept segregated waste streams.

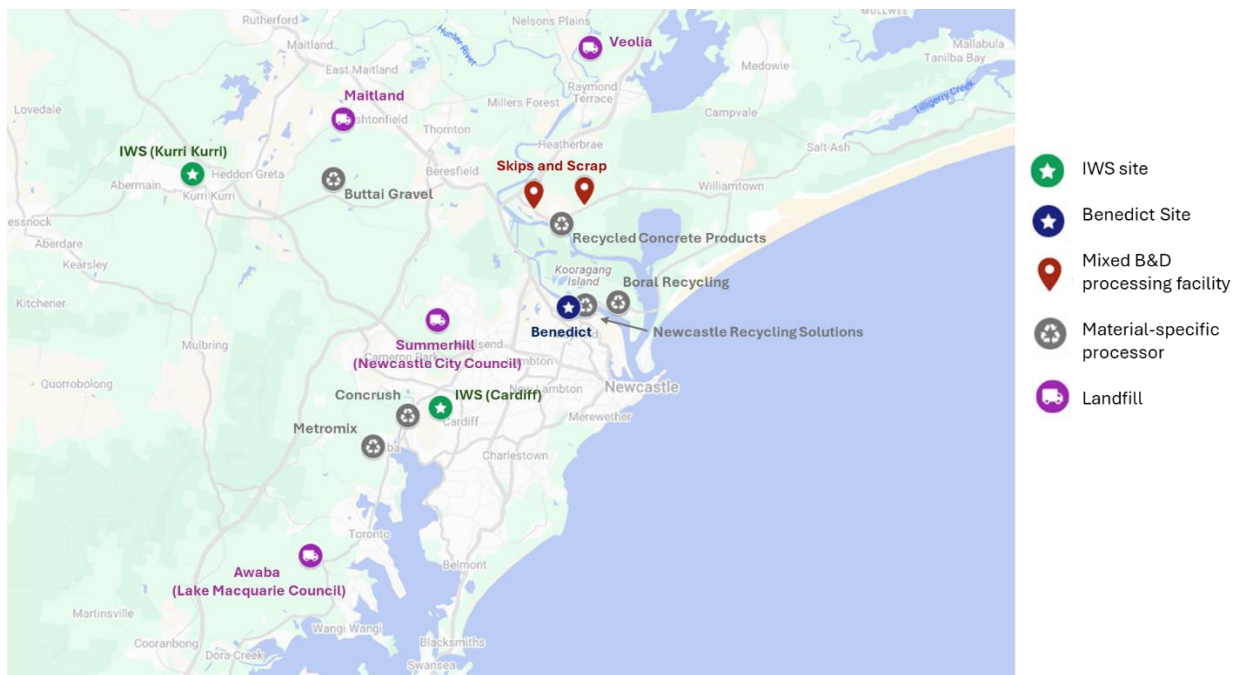
⁷ Skips and Scrap acquired Bingo Industries' former site at 29 Laverick Ave, Tomago. While the licensed capacity of the recently acquired facility has not yet been confirmed by the NSW EPA as of August 2025, the licence application permits the site to hold 500 tonnes at any given time.

Table 1: Waste facilities that accept mixed and sorted B&D waste including the Parties, landfill and specialist recyclers within 40 minutes' drive of Benedict's Newcastle Recycling Centre

Facility name and owner	Location	Capacity ⁸
<i>Facilities that accept mixed B&D</i>		
Benedict – Newcastle Recycling Centre	Mayfield West	315,000t per annum
IWS – Central Waste Transfer Station	Cardiff	99,800t per annum
IWS – Central Waste	Kurri Kurri	90,000t per annum
Skips and Scrap	Tomago (Enterprise Dr)	25,000t per annum
Skips and Scrap	Tomago (Laverick Ave)	500t at any one time
<i>Facilities that accept sorted B&D (mostly crushable and excavated natural materials)</i>		
Boral Recycling	Kooragang	130,000t per annum
Newcastle Recycling Solutions	Mayfield North	150,000t per annum
Concrush	Teralba	40,000t at any one time
Buttai Gravel	Buttai	100,000t per annum
Metromix	Teralba	37,000t at any one time
Recycled Concrete Product	Tomago	30,000t at any one time
<i>Landfills</i>		
Summerhill Waste Management Centre	Wallsend	362,000t per annum
Maitland Resource Recovery Facility	East Maitland	100,000t per annum
Veolia's Newline Road Engineered Landfill	Raymond Terrace	300,000t per annum
Awaba Waste Management Facility	Awaba	150,000t per annum

⁸ Capacity information in this table is based on published NSW EPA licences and applications for each facility as of August 2025. NSW EPA licences may specify the maximum licensed amount of waste for the premise in either tonnes per annum or tonnes at a given time.

Figure 2: Waste facilities that accept mixed and sorted B&D waste in the Newcastle area⁹



Low likelihood of timely and effective new entry or expansion

60. The ACCC considers that there are significant barriers to entry and expansion in mixed B&D waste processing, meaning the threat of new entry or expansion would be unlikely to constrain a combined IWS-Benedict entity post-acquisition.

61. Potential entrants face significant barriers, including:

- a. **Limited availability of suitable sites that meet environmental and regulatory requirements in the Newcastle region.** The ACCC understands the availability of suitable sites in the Newcastle region is limited, with future waste management site development opportunities likely to be more than 30 minutes' drive from the centre of Newcastle.
- b. **The time and cost required to obtain the necessary development approvals and EPA licences.** Market participants generally indicated it can take between 12 months to 8 years to obtain necessary regulatory approvals, with no certainty that they will be granted.
- c. **Cost of land and equipment.** Information provided to the ACCC suggests capital costs could range from \$10m (for a smaller facility) to up to \$30m. The ACCC welcomes feedback on the profitability of new entry in the context of these costs.

62. The Parties submit that they are aware of new entrants planning to develop mixed B&D waste processing facilities in the Newcastle region, identifying MET Recycling as a potential new entrant. The ACCC understands that MET Recycling has an

⁹ Prepared by the ACCC using publicly available sources and Google Maps

application pending with the NSW Department of Planning and Cessnock City Council for a resource recovery facility in Abermain, approximately 35-40 km from the centre of Newcastle. Publicly available information suggests that the development application has not progressed since a Request for Secretary's Environmental Assessment Requirements Scoping Study was lodged in 2022.¹⁰ At this stage, the ACCC considers that the potential for MET Recycling to enter, under an uncertain timeframe, is not sufficient to establish that the threat of new entry is likely, timely and sufficient to constrain the merged firm post-acquisition.

63. The ACCC's preliminary view is that operators of existing waste processing facilities in the Newcastle region, including C&I and material-specific B&D waste processing facilities, would also face significant hurdles to switching or expanding their service to offer mixed B&D waste processing in a timely way. Switching to mixed B&D waste processing would necessitate operational changes and could disrupt existing waste recycling operations, and associated profits.
64. Obtaining the necessary approvals and EPA licence to develop new plant and conduct different waste recycling activities can take considerable time and expense. The ACCC understands some waste facilities in the Newcastle region hold EPA licences that would permit the processing of mixed B&D waste, but the operators of those facilities only accept certain segregated B&D waste streams. The ACCC is considering whether there would be approvals required or any other regulatory barriers for these firms to switch or expand their operations to accept and process mixed B&D waste.

Customers do not have countervailing power

65. The ACCC considers that B&D waste collectors in the Newcastle region are unable to credibly 'self-supply' or sponsor new entry in B&D waste processing and accordingly have limited or no countervailing power.
66. B&D waste collection companies in the Newcastle region are fragmented and small-scale. It appears unlikely that a collection business would be able to underwrite the significant cost of developing a new mixed B&D waste processing facility.

Questions for market participants

The ACCC invites comments from market participants regarding competition in the supply of mixed B&D waste processing services. Market participants may wish to comment on the following:

- How closely IWS and Benedict compete with each other for customers of mixed B&D waste processing services, including the significance of each of IWS' facilities at Cardiff and Kurri Kurri
- The extent to which Skips and Scrap competes with IWS and Benedict for customers of mixed B&D waste processing services

¹⁰ Planning NSW, [Resource Recovery Facility Met Recycling-HEZ](#), accessed 26 August 2025.

- The impact of Skips and Scrap's recent acquisition of Bingo Industries' Newcastle operations, including:
 - o Skips and Scrap's processing capability of mixed B&D waste, and
 - o Skips and Scrap's capacity to accept and process waste deposited by third parties
- The potential for suppliers of C&I waste processing services to expand into mixed B&D waste processing in the Newcastle region, including their incentives to do so and the timeframes involved
- The potential for suppliers of waste processing services that are licensed to process mixed B&D waste (but do not currently accept it) to start accepting mixed B&D waste, and the likelihood of them doing so
- The extent to which Igneo's development of a waste management facility in Black Hill (as a result of the Three Mile Hill transaction) may:
 - o impact on competition in mixed B&D waste processing services in the Newcastle region
 - o impact the likelihood of new entry in B&D waste processing in the Newcastle region.

Issue that may raise concerns: foreclosure of competing B&D waste collection businesses

67. The ACCC's preliminary view is that the Proposed Acquisition may substantially lessen competition in the supply of B&D waste collection services in the Newcastle region due to the risk of the merged firm adopting a foreclosure strategy post-acquisition.
68. IWS operates an integrated B&D waste collection and processing business in the Newcastle region. Benedict does not operate a collections business and receives waste at the Newcastle Recycling Centre from third-party waste collectors and other waste generators (e.g. members of the public).
69. B&D waste processing is a necessary input for B&D waste collectors. While vertically integrated waste service providers deposit waste at their own processing facilities, standalone B&D waste collection companies rely on access to competitively priced waste processing services.
70. The ACCC is concerned that post-acquisition, IWS may have the ability to foreclose its rival downstream B&D waste collection suppliers in the Newcastle region by either:
- limiting its B&D waste collection rivals' access to one or more of IWS' processing facilities, or
 - increasing the tipping prices for rival B&D waste collectors, such that they can no longer compete with IWS' waste collections business.

71. The ACCC is still considering whether the merged entity would have the incentive to foreclose third-party waste collection businesses.
72. The ACCC is concerned that such a foreclosure strategy may substantially lessen competition in the market for mixed B&D waste collection by preventing non-vertically integrated rival companies from competing effectively in waste collections.

Questions for market participants

The ACCC invites comments from market participants regarding:

- How B&D waste collectors would respond to losing access to IWS' and Benedict's waste facilities, or to a significant increase in tipping prices at each of these facilities
- The potential impact on the use of the merged firm's facilities if it increased the tipping price for rival collectors
- How commercial factors may influence the merged firm's incentive to restrict entry by (or increase the fee charged to) rival collection businesses.

The ACCC's future steps

73. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues, and on any other issues that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than **5pm AEST on 25 September 2025**.
74. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
75. The ACCC intends to publicly announce its final view by **20 November 2025**. However, the anticipated timeline may change in line with the [Informal Merger Review Process Guidelines](#). A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.